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0452/12

October/November 2019

1 hour 45 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

DO **NOT** WRITE IN ANY BARCODES.

You may use a calculator.

The businesses mentioned in this Question Paper are fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

This document consists of **21** printed pages and **3** blank pages.

There are 10 parts to Question 1.

For each of the parts (a) to (j) below there are four possible answers, **A**, **B**, **C** and **D**.
Choose the one you consider correct and place a tick (✓) in the box to indicate the correct answer.

1 (a) Which group contains only assets?

- A** accrued wages, inventory, trade payables
- B** cash, machinery, rent receivable accrued
- C** bank loan, drawings, office fixtures and fittings
- D** bank overdraft, prepaid insurance, trade receivables

☐
☐
☐
☐

[1]

(b) On 1 January 2018 Jennie, a food retailer, had stationery valued at \$45.
During the year she purchased stationery, \$200.
On 31 December 2018 she transferred \$194 from the stationery account to the income statement.

What was the balance of the stationery account on 1 January 2019?

- A** \$39 credit
- B** \$39 debit
- C** \$51 credit
- D** \$51 debit

☐
☐
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☐

[1]

(c) Which items may appear on the debit side of a purchases ledger control account?

- 1 contra entry
- 2 discount received
- 3 interest on overdue account
- 4 purchases

- A** 1 and 2 only
- B** 1, 2 and 3
- C** 3 and 4
- D** 4 only

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☐
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☐

[1]

- (d) A trader always depreciates his motor vehicles using the reducing (diminishing) balance method.

Which accounting principle is he applying?

A consistency

☐

B duality

☐

C going concern

☐

D realisation

☐

[1]

- (e) Which ratio can only be calculated using information from both the income statement and the statement of financial position?

A margin

☐

B mark-up

☐

C rate of inventory turnover

☐

D return on capital employed

☐

[1]

- (f) Asim and Bakari are in partnership. Their partnership agreement provides for an annual salary of \$15 000 for Bakari and the balance of the profit to be shared equally.

The profit for the year was \$93 000.

What was Bakari's total income from the business?

A \$39 000

☐

B \$46 500

☐

C \$54 000

☐

D \$61 500

☐

[1]

- (g) Which error does **not** affect the balancing of a trial balance?

A Cash received from Smith was debited to Smythe's account.

☐

B Motor vehicle expenses were debited to the motor vehicles account.

☐

C One page of the sales journal was overcast.

☐

D Purchases returns were omitted from the purchases ledger.

☐

[1]

(h) A manufacturer provided the following information at the end of his financial year.

	\$
direct materials	314 000
direct labour	181 000
factory overheads	117 000
increase in work in progress	32 000

What was the cost of production?

- A \$346 000
- B \$410 000
- C \$580 000
- D \$644 000

☐
☐
☐
☐

[1]

(i) Jamal did not maintain double entry records during his first year of trading.

Which item is **not** required in order to calculate his credit sales using a total trade receivables account?

- A bad debts
- B discount allowed
- C provision for doubtful debts
- D receipts from credit customers

☐
☐
☐
☐

[1]

(j) During her first year of trading Daraja purchased 1000 units of inventory at \$16 each. She sold 910 units at \$19 each. Of the inventory remaining at the end of her financial year 30 units were damaged and valued at \$7 each.

What was the value of Daraja's inventory at the end of the financial year?

- A \$1170
- B \$1350
- C \$1440
- D \$1710

☐
☐
☐
☐

[1]

[Total: 10]

PLEASE TURN OVER

- 2 Saleh started to maintain a petty cash book on 1 August 2019. He decided to use the imprest system, with the monthly imprest of \$150 which would be restored on the first day of each month.

Saleh's transactions for the month of August 2019 included the following.

		\$
August 4	Purchased stationery	21
9	Paid Omar, a credit supplier	57
14	Bought flowers for office	10
20	Paid taxi fare	9
26	Bought tea and coffee for office	7
30	Paid cleaner	30

REQUIRED

- (a) Enter the transactions in Saleh's petty cash book on the page opposite.

Balance the petty cash book and bring down the balance on 1 September 2019. [10]

[illegible]

- (b) (i) State the amount which was received on 1 September 2019 when the petty cash was restored to the imprest amount.

..... [1]

- (ii) State the double entry for restoring the imprest amount.

debit	credit

[2]

- (c) Show the entries which were made in the following accounts on 31 August 2019. It is not necessary to total or balance the accounts.

Saleh
Office expenses account

Date	Details	\$	Date	Details	\$
.....					
.....					

Omar account

Date	Details	\$	Date	Details	\$
.....					
.....					

[2]

Saleh balanced his cash book on 31 August 2019 and compared the balance on the bank column with his bank statement. The following differences were found.

	\$
Items not recorded in the cash book	
Bank charges	22
Credit transfer from Laila	190
Insurance premium paid by standing order	30
Items not recorded on the bank statement	
Cheque paid to Kalifa	114
Cheque paid to Fatima	175
Cash sales	363

REQUIRED

- (d) Update the bank columns of the cash book.
Bring down the new balance on 1 September 2019.

Saleh
Cash Book (bank columns only)

Date 2019	Details	\$	Date 2019	Details	\$
.....			<i>Sept 1</i>	<i>Balance b/d</i>	<i>944</i>
.....					
.....					
.....					
.....					
.....					

[4]

- (e) Prepare a bank reconciliation statement at 31 August 2019 to show the balance on the bank statement on that date.

Saleh
Bank Reconciliation Statement at 31 August 2019

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

[Total: 25]

- 3 Tumelo is a trader. He buys goods on credit from Azuel.

The traders exchanged various documents in July 2019.

REQUIRED

- (a) Complete the table by naming the person who issued **each** document.
Name the book of prime (original) entry in which **each** document would be recorded by **each** trader.

If a document is not entered in a book of prime (original) entry, write 'No entry'.

document	name of person issuing document	book of prime (original) entry used by Tumelo	book of prime (original) entry used by Azuel
invoice			
debit note			
credit note			

[9]

The following incomplete document was prepared on 31 July 2019.

Tumelo North Avenue Anytown Azuel West Street Somecity 31 July 2019				
Date	Reference	Debit \$	Credit \$	Balance \$
2019 July 1	Balance due			300
14	Goods	470		?
18	Returns		190	?
27	Payment		294	?
	Discount		6	?

REQUIRED

- (b) (i) State the name of the document.

..... [1]

- (ii) Name the person who issued the document.

..... [1]

- (iii) State **one** reason for the issue of the document.

.....
 [1]

- (iv) Name the person who owed the opening balance of \$300.

..... [1]

- (v) Calculate the percentage of the discount on 27 July 2019.

.....
 [1]

- (vi) Calculate the balance due on 31 July 2019.

.....
 [1]

- (vii) State why this document was **not** used as a source document by either Tumelo or Azuel.

.....
 [1]

Azuel divides his ledger into three – the sales ledger, the purchases ledger and the nominal (general) ledger.

- (c) State **two** advantages of dividing the ledger into these three sections.

1

 2
 [2]

- (d) Complete the table by naming the ledger in which Azuel would maintain **each** of the following accounts.

account	ledger
Tumelo, a credit customer	
sales returns	
Lerato, a credit supplier	
purchases	
carriage inwards	

[5]

[Total: 23]

- 4 Gary is a manufacturer of kitchen equipment. His financial year ends on 30 September.

On 1 August 2019 Ed, a credit customer, was declared bankrupt and the balance of his account of \$326 was written off as irrecoverable.

No other debts were written off during the year.

REQUIRED

- (a) Prepare a journal entry to write off the amount owed by Ed.

A narrative **is** required.

Gary General Journal

Date	Details	Debit \$	Credit \$
2019			
.....			
.....			
.....			
.....			

[3]

On 1 June 2018 the account of Sally, a credit customer who owed \$440, was written off as irrecoverable.

On 4 September 2019 Sally settled her account with \$180 in cash and a computer valued at \$260.

REQUIRED

- (b) State how Gary would record the transaction on 4 September 2019.

account debited	account credited
\$	\$
.....	
.....	

[3]

Gary maintains a provision for doubtful debts of 2½% of the trade receivables at the end of each financial year. He provided the following information.

Trade receivables at 30 September 2018 owed \$36 400

Trade receivables at 30 September 2019 owed \$38 000

- (c) Prepare the provision for doubtful debts account for the year ended 30 September 2019. Balance the account and bring down the balance on 1 October 2019.

Gary
Provision for doubtful debts account

Date	Details	\$	Date	Details	\$
.....					
.....					
.....					
.....					
.....					
.....					

[5]

Gary wishes to increase his profit for the year. He has decided to stop maintaining a provision for doubtful debts.

REQUIRED

- (d) Explain why Gary should continue to maintain a provision for doubtful debts.

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.....

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..... [4]

- (e) Complete the table to indicate the **effect of omitting** to record the bad debt, the bad debt recovered and the adjustment to the provision for doubtful debts.

The first one has been completed as an example.

item omitted	effect on profit for the year ended 30 September 2019		effect on current assets at 30 September 2019	
		\$		\$
bad debts	<i>overstated</i>	326	<i>overstated</i>	326
bad debt recovered				
adjustment to provision for doubtful debts				

[4]

[Total: 19]

- 5 Oliver and Amy are in partnership. They are considering converting the business to a limited liability company.

REQUIRED

- (a) Explain the term 'limited liability company'.

.....

.....

..... [2]

- (b) State **two** benefits (**excluding** limited liability) to Oliver and Amy of forming a limited liability company.

1

.....

2

..... [2]

- (c) State the meaning of the following terms.

- (i) called-up share capital

.....

..... [1]

- (ii) paid-up share capital

.....

..... [1]

If Oliver and Amy decide to form a limited liability company they plan to raise funds from an issue of ordinary shares and an issue of debentures.

- (d) State **two** features of ordinary shares.

1

.....

2

..... [2]

(e) State **two** features of debentures.

- 1
-
- 2
- [2]

Oliver and Amy understand that a statement of changes in equity has to be prepared in addition to an annual income statement.

(f) Complete the table by placing a tick (✓) in the correct column to indicate whether **each** item appears in a limited company's income statement or statement of changes in equity.

If the item does not appear in these financial statements place a tick (✓) in the 'no entry' column.

	income statement	statement of changes in equity	no entry
issue of 5% debentures during the year			
debenture interest relating to the current year paid during the year			
final ordinary share dividend relating to the previous financial year paid during the current year			
interim ordinary share dividend paid for the current year			
proposed ordinary share dividend for the current year			

[5]

[Total: 15]

- 6 Pavita is a food wholesaler. Her financial year ends on 30 September. She provided the following information on 30 September 2019 **after** the calculation of her gross profit.

	\$
Gross profit	40 780
Non-current assets at cost	
Premises	96 000
Fixtures and fittings	12 000
Motor vehicle	14 400
Provisions for depreciation of non-current assets	
Fixtures and fittings	4 800
Motor vehicle	6 300
Wages	27 120
Rates and insurance	1 700
Trade receivables	8 940
Trade payables	10 280
Drawings	2 980
Capital at 1 October 2018	112 000
Operating expenses	3 195
Motor expenses	1 155
Discount received	970
Inventory at 30 September 2019	8 870
Bank	1 230 credit

Additional information

- 1 At 30 September 2019 wages accrued amounted to \$980.
- 2 The rates and insurance includes \$900 for insurance for 15 months to 31 December 2019.
- 3 Pavita's cash drawings, \$1000, have been debited to the wages account in error.
- 4 \$190 owing by a credit customer should be written off as irrecoverable.
- 5 The fixtures and fittings are to be depreciated using the straight line (equal instalment) method at 20% per annum.
- 6 The motor vehicle is to be depreciated using the reducing (diminishing) balance method at 25% per annum.

(b) Calculate Pavita's working capital at 30 September 2019.

.....

.....

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..... [3]

(c) Suggest **two** ways in which Pavita could increase her working capital.

1

2 [2]

(d) Calculate the current ratio correct to **two** decimal places.

.....

.....

..... [2]

Pavita provided the following additional information for the year ended 30 September 2019.

	\$
Credit sales	120 000
Credit purchases	88 100

She allows her credit customers 21 days credit and is allowed 30 days credit by her credit suppliers.

REQUIRED

(e) State the formula for the calculation of the trade receivables collection period.

.....

..... [1]

- (f) Calculate the trade receivables collection period for the year ended 30 September 2019.
Round up your answer to the next whole day.

.....

.....

.....

..... [2]

- (g) Suggest **one** way in which Pavita could improve the trade receivables collection period.

.....

..... [1]

- (h) State the formula for the calculation of the trade payables payment period.

.....

..... [1]

- (i) Calculate the trade payables payment period for the year ended 30 September 2019.
Round up your answer to the next whole day.

.....

.....

.....

..... [2]

- (j) State whether the trade payables would be satisfied with the payment period.
Give a reason for your answer.

Satisfied?

Reason

.....

..... [2]

[Total: 28]

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